

TENTATIVE RULINGS

**DEPT. CX103
(657-622-5303)**

**Judge David A. Hoffer
August 10, 2026**

These are the Court's tentative rulings. They may become orders if the parties do not appear at the hearing. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

If a party intends to submit on the Court's tentative ruling, please call the Court Clerk to inform the court. If both parties submit, the tentative ruling will then become the order of the Court.

APPEARANCES: Department CX103 conducts non-evidentiary proceedings, such as law and motion, remotely by Zoom videoconference. All counsel and self-represented parties appearing for such hearings should check-in online through the Court's civil video appearance website at <https://www.occourts.org/media-relations/civil.html> prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and an instructional video are available on the court's website. All remote video participants shall comply with the Court's "Appearance Procedures and Information--Civil Unlimited and Complex" and "Guidelines for Remote Appearances" also posted online at <https://www.occourts.org/media-relations/aci.html>. A party choosing to appear in person can do so by appearing in the courtroom on the date/time of the hearing.

Court Reporters: Parties must provide their own remote court reporters (unless they have a fee waiver). Parties must comply with the Court's policy on the use of privately retained court reporters which can be found at:

- Civil Court Reporter Pooling; and
- Court Reporter Interpreter Services

THE PARTIES ARE PROHIBITED BY RULE OF COURT AND LOCAL RULE FROM PHOTOGRAPHING, FILMING, RECORDING, OR BROADCASTING THIS COURT SESSION.

#	Case Name	
1	30-2021-01201250 Konishi vs. Lounge Group, Inc.	The settlement administrator has confirmed that the distribution of the settlement funds has been made in accordance with the settlement terms that were approved by the court and that the amount of the uncashed checks from the settlement has been transmitted to the State Controller's Office's Unclaimed Property Fund. As Plaintiff has shown that the Administrator's work is complete, the court's file is now closed.

		Plaintiffs are ordered to give notice of this ruling to Defendant.
2	30-2021-01204870 Lundin vs. Anaheim Transportation Network	The settlement administrator has confirmed that the distribution of the settlement funds has been made in accordance with the settlement terms that were approved by the court and that the amount of the uncashed checks from the settlement has been transmitted to the State Controller's Office's Unclaimed Property Fund. As Plaintiff has shown that the Administrator's work is complete, the court's file is now closed. Plaintiff is ordered to give notice of this ruling to Defendant.
3	30-2022-01292149 Jimenez vs. Innovative Cleaning Services Inc.	The settlement administrator has confirmed that the distribution of the settlement funds has been made in accordance with the settlement terms that were approved by the court and that the amount of the uncashed checks from the settlement has been transmitted to the cy pres recipient, East Bay Community Law Center. As Plaintiff has shown that the Administrator's work is complete, the court's file is now closed. Plaintiff is ordered to give notice of this ruling to Defendant.
4	30-2023-01337693 McArthur vs. Wyndham Vacation Ownership, Inc.	The settlement administrator has confirmed that the distribution of the settlement funds has been made in accordance with the settlement terms that were approved by the court and that the amount of the uncashed checks from the settlement has been transmitted to the State Controller's Office's Unclaimed Property Fund. As Plaintiff has shown that the Administrator's work is complete, the court's file is now closed. Plaintiff is ordered to give notice of this ruling to Defendant.
5	30-2023-01319973 Engles vs. Premium Brands OPCO LLC	Plaintiff Kathryn Jeanine Fagan Engles' ("Plaintiff") Motion for Final Approval of Class Action and PAGA Settlement is GRANTED IN PART. An enhancement award of \$5,000 is sufficient and proper for a class and settlement of this size, and based on plaintiff's contribution to the case.

	The court also finds that an attorneys' fee award totaling \$450,000.00 or 30% of the Gross Settlement Amount, which constitutes a 1.57 multiplier of the lodestar amount, is fair, adequate and reasonable for the class and settlement of this size, contingent nature of representation and the results achieved. The court concludes that the \$1,500,000.00 class action and PAGA settlement is fair, adequate and reasonable, and approves the following specific awards: • \$450,000.00 to plaintiff's counsel for plaintiff's attorneys' fees, reduced from the \$500,000.00 requested; • \$18,200.41 to plaintiff's counsel for plaintiff's litigation costs, reduced from the \$18,240.25 requested; • \$5,000.00 to Plaintiff Kathryn Jeanine Fagan Engles as enhancement award, reduced from the \$10,000.00 requested; • \$23,500.00 to CPT Group, Inc., the settlement administrator, as requested; and • \$75,000.00 to the LWDA for its share of PAGA penalties, as requested. The total amount that will be payable to all class members and aggrieved employees, if they are paid the amount to which they are entitled pursuant to the judgment, is \$928,299.59. The Final Accounting hearing is set for June 28, 2027 at 1:30 p.m. in Department CX103. At least sixteen (16) calendar days before the hearing, Class Counsel and the Settlement Administrator shall submit a summary accounting of the distribution of the settlement funds to Class Members and Aggrieved Employees, identifying the distributions made pursuant to this Order and Judgment, and identifying the number and value of any uncashed checks, and the status of any unresolved issues. Within five (5) days of this ruling, Plaintiff shall provide the court with a revised Proposed Final Order and Judgment reflecting this ruling. Plaintiff is ordered to give notice of the ruling to the LWDA and Defendant.
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6	30-2015-00776114 Semprini vs. Wedbush Securities Inc.	The tentative ruling is to continue Plaintiffs Joseph Semprini and Bradley Swain’s (collectively, “Plaintiffs”) Motion for Preliminary Approval of Class Action and PAGA Settlement to November 2, 2026 at 1:30 p.m. Counsel must file supplemental papers addressing the court’s concerns (not fully revised papers that would have to be reread) no later than two weeks before the next hearing date. Counsel must submit an amendment to the settlement agreement rather than any amended settlement agreement. Counsel also must provide a red-lined version of any revised papers. Counsel also should provide the court with an explanation of how the pending issues were resolved, with references to any corrections to the settlement agreement and the class notice, rather than with a supplemental declaration or brief that simply asserts the issues have been resolved. Plaintiffs failed to provide the court with a text-searchable settlement agreement in compliance with CRC 2.256(b)(3). The settlement provides for the employer’s share of payroll taxes to come out of the gross settlement amount. The court does not consider the employer’s share of payroll taxes to be part of the common fund on which plaintiff’s attorneys’ fees are calculated, and thus, at final approval, plaintiffs should expect a reduction in plaintiffs’ attorney fee award on that basis. Paragraph 5.2 of the Settlement Agreement includes in the class release Labor Code §§ 210, 223, 226.3, 245-249, 516, 1174, 1194 and 1198, but the court will not approve the release of any claims that are outside of the scope of the operative complaint. The parties must either remove reference to these statutes in the release, or provide an explanation as to how claims based on these statutes arise from the facts alleged in the operative complaint. The following corrections must be made to the class notice: (1) The page numbers should start with 1. (2) On page 31 of the Class Notice, Section B should be titled “Deductions from Gross Settlement Subject to Final Approval by the Court,” not “Court Approved Deductions from Gross Settlement.” (3) Section H on page 32 of the Class Notice should remove any reference to Requests for Exclusion as there are none in this settlement claims process.
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		Plaintiffs have not shown that they served the LWDA with their moving papers. Plaintiffs are ordered to give notice of this ruling to the LWDA and Defendant, to serve the LWDA with their original moving papers as well as any new papers filed for future hearings, and to file a proof of service showing such compliance.
7	30-2023-01346806 Herrera vs. 180 Snacks, Inc.	The tentative ruling is to continue Plaintiff's Motion for Preliminary Approval of Class and Representative Action Settlement to December 7, 2026 at 1:30 p.m. Counsel must file supplemental papers addressing the court's concerns below (not fully revised papers that would have to be reread) no later than 16 days before the next hearing date. Counsel must provide red-lined versions of all revised papers and settlement provisions. Counsel also should provide the court with an explanation of how the issues were resolved, with references to any corrections to the settlement agreement and the class notice, rather than with a supplemental declaration or brief that simply asserts the issues have been resolved. <u>As to the settlement:</u> 1. The settlement provides it must be determined, prior to preliminary approval, whether the escalator provision has been triggered and, if so, defendants' election of option. ¶ 8. 2. Provide the highest and lowest estimated individual class and PAGA awards. 3. As provided in the settlement (¶¶ 6.1-6.2) the parties (including defendants) should advise, in declarations filed with the court, whether, after making reasonable inquiry, they have become aware since executing the settlement agreement of any class, representative or other collective action in any court that asserts claims similar to those asserted in this action. If any such actions are known to exist, the declarations must also state the name and case number of any such case and the procedural status of that case, and must describe the impact of the settlement on that case. 4. While the court will not determine the amount of attorneys' fees to be awarded until final approval, the court is unlikely to approve attorneys' fees in excess of

		30% of the gross settlement amount absent unique circumstances. Plaintiff's counsel should address at final approval whether any such unique circumstances exist here. <u>As to the notice:</u> 5. The notice should be revised consistent with the above. 6. Replace “a good deal for you” with “fair.” § 2 ¶ 2. 7. Remove “up to” with regard to amount of PAGA Penalties. § 3 ¶ 2(D). 8. Add “initially” between “also” and “decide.” § 3 ¶ 8. 9. Inform class members and aggrieved employees that settlement documents will be available on the administrator’s website for at least 180 days following entry of judgment, which occurs after the court grants final approval. § 9. <u>As to the proposed order:</u> 10. The proposed order should be revised consistent with the above. 11. The English and Spanish versions of the notice (including all forms) must be identified and exhibited to the order. ¶ 4. 12. Other than the first two sentences, paragraph 16 should be deleted. Additionally, remove the apostrophe before the second sentence in that paragraph. 13. Remove paragraph 17. Plaintiff is ordered to give notice of this ruling to the LWDA and defendants and to file a proof of service.
8	30-2018-01015248 Springs vs. SBM Site Services, LLC	Defendant SBM Site Services, LLC’s (“Defendant”) Motion for the Court to Reinstate Its Order Compelling Arbitration is GRANTED. The order granting Defendant’s Motion to Compel Arbitration in part on January 27, 2023 (ROA 206), which was vacated on January 26, 2024 (ROA 253), is deemed reinstated.

	Accordingly, this action remains stayed pending completion of the arbitration. The court GRANTS Defendant’s requests for judicial notice of the court’s January 31, 2024 Order Granting Plaintiff’s Motion to Vacate Order Compelling Arbitration, and the October 23, 2025 Opinion of the Fourth Appellate District, Third Division, in the Court of Appeal, Fourth Appellate District, Case No. G063924. (Cal. Evid. Code § 452(d).) On January 27, 2023, Judge Sherman granted Defendant’s Motion to Compel arbitration as to Plaintiff Brian Springs’ (“Plaintiff”) individual PAGA claims, but denied as to Plaintiff’s representative PAGA claims. (ROA 206.) On January 26, 2024, after Defendant failed to timely pay an arbitration fee to JAMS, Judge Sherman granted Plaintiff’s motion to vacate the order compelling arbitration, as the law at the time required strict compliance with CCP § 1281.98. (ROA 253.) “In an employment or consumer arbitration that requires, either expressly or through application of state or federal law or the rules of the arbitration provider, that the drafting party pay certain fees and costs during the pendency of an arbitration proceeding, if the fees or costs required to continue the arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel the employee or consumer to proceed with that arbitration as a result of the material breach.” (CCP § 1281.98(a)(1).) In its opposition, Defendant’s counsel admitted to receiving the invoice from JAMS and the follow-up reminder e-mails from JAMS, and conceded that Defendant failed to timely pay the invoice, but argued that the JAMS invoice should have been sent to Defendant directly to trigger the 30-day deadline. Judge Sherman rejected this argument. On March 15, 2024, Defendant filed a notice of appeal of the January 26, 2024 order. (ROA 259.) The appellate court agreed with Judge Sherman’s finding that JAMS’s provision of the deposit request to Defendant’s counsel for payment of due and owing fees triggered the 30-day period provided in section 1281.98, subdivision (a). (ROA 320 at p. 14.) However, the appellate court believed Judge Sherman’s ruling had to be reversed and remanded due to a change in the law regarding CCP § 1281.98 based on a recent California Supreme Court decision in <i>Hohenshelt v. Superior Ct.</i> The appellate court instructed: “We remand to the trial court to
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		determine in the first instance whether SBM's failure to timely pay arbitration fees should be excused pursuant to the holding and reasoning of <i>Hohenshelt</i>.” (ROA 320 at p. 16.) In <i>Hohenshelt</i>, the California Supreme Court held that the penalties for failure to make timely payments of arbitration fees under Section 1281.98 could be subject to relief under certain circumstances of good faith conduct and excusable neglect. The California Supreme Court maintained that Section 1281.98 was enforceable and not preempted by the FAA, noting that “[w]ithout a rule requiring timely payment of arbitration fees and imposing meaningful consequences for willful nonpayment, companies could continue to stymie dispute resolution ‘by refusing to participate in the arbitration proceedings’ initiated by their consumers or employees.” (<i>Hohenshelt v. Superior Ct.</i> (2025) 18 Cal. 5th 310, 348.) However, the court explained: “[T]he Legislature sought to deter companies and employers from engaging in <i>strategic</i> nonpayment of arbitration fees; we find no indication that it intended to strip companies and employers of their contractual right to arbitration where nonpayment of fees results from a good faith mistake, inadvertence, or other excusable neglect.” (<i>Id.</i> at 323.) “The Legislature enacted section 1281.98 to deter strategic nonpayment and thereby remedy a ‘concerning and troubling trend’ of delay.” (<i>Id.</i>) The court noted that the Legislature in enacting 1281.98 was concerned “about nonpayment of fees as a “tactic” . . . to “indefinitely postpone” . . . resolution of employee or consumer claims.” (<i>Id.</i> at 337.) Accordingly, the court held that “[s]ection 1281.98 does not displace background statutes permitting relief to a breaching party in certain circumstances[.]” (<i>Id.</i> at 349.) The court explained that “[w]hen a party breaches its contractual obligations willfully, fraudulently, or with gross negligence, it cannot escape the consequences by pointing to a lack of harm to the other party.” (<i>Hohenshelt</i>, 18 Cal. 5th at 346.) However, “short of such wrongful conduct, a breaching party may be relieved from forfeiting its right to enforce an arbitration agreement based on the circumstances, as provided by longstanding legal principles.” (<i>Id.</i>) “[U]nder general contract law principles as under section 1281.98, a drafting party cannot avoid discharging the other party's contractual duty to proceed in arbitration if it willfully withholds fees necessary to move arbitration forward.” (<i>Hohenshelt</i>, 18 Cal. 5th at 344.) “Conversely, if the drafting party acted in good faith, it may seek relief under the above
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	statutes, and its claim should be evaluated under the usual principles in law and equity governing relief from forfeiture or default, including whether the other party has been prejudiced.” (<i>Id.</i>) “Whenever, by the terms of an obligation, a party thereto incurs a forfeiture, or a loss in the nature of a forfeiture, by reason of his failure to comply with its provisions, he may be relieved therefrom, upon making full compensation to the other party, except in case of a grossly negligent, willful, or fraudulent breach of duty.” (Cal. Civ. Code § 3275.) “[A] drafting party that has not acted willfully, fraudulently, or with gross negligence in making a late payment ‘may be relieved’ from forfeiting their right to continue the arbitration ‘upon making full compensation to the other party’ for any losses resulting from the delay.” (<i>Hohenshelt</i>, 18 Cal. 5th at 333.) In addition, “[t]he court may, upon any terms as may be just, relieve a party or the party’s legal representative from a judgment, dismissal, order, or other proceeding taken against the party through the party’s mistake, inadvertence, surprise, or excusable neglect.” (CCP § 473(b).) “Forfeitures in the nature of a penalty are not favored; and language must be so construed as to avoid a forfeiture if that is possible.” (<i>Petrovich v. City of Arcadia</i> (1950) 36 Cal. 2d 78, 84.) Defendant’s counsel states that Defendant’s failure to pay the arbitration deposit invoice was inadvertent, and not done willfully, fraudulently, or with gross negligence. Defendant’s counsel states she mistakenly and inadvertently did not identify a date certain by which the deposit request needed to be paid when she forwarded the JAMS invoice to Defendant via email. (Amaral Dec. ¶¶ 13-16.) Defendant’s counsel states that her conduct was “inadvertent” and was not done “to avoid payment, or to delay the arbitration proceedings.” (<i>Id.</i>) In supplemental briefing, Defendants provide evidence that the invoice was in process for payment prior to Plaintiff filing the Motion to Vacate, demonstrating that the delay in payment was not strategic. (ROA 374, 376, 378, 380.) Defendant contends that neither counsel nor Defendant willfully or intentionally attempted to avoid payment to cause delay, and Plaintiff presents no evidence to the contrary. Plaintiff argues that Defendant’s counsel’s conduct was intentional and strategic, but provides no evidence in support of this claim. Plaintiff contends that Defendant’s counsel failed to seek an extension, failed to inform JAMS of any delay in payment, and failed to explain to Defendant that a failure to timely pay the invoices could lead to a forfeiture of rights.
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		However, these allegations are consistent with Defendant's counsel's claim of mistake and inadvertent error in misunderstanding and failing to communicate the deadline to pay the JAMS invoice. The evidence does not demonstrate any strategic or tactical delay by Defendant or its counsel that would warrant penalizing Defendant for its short delay in paying the JAMS invoice. In supplemental briefing, Plaintiff appears to concede the lack of evidence of any strategic delay on Defendant's part. Plaintiff's judicial estoppel argument also fails as Defendant's legal position was rejected by both Judge Sherman and the appellate court. Judicial estoppel only applies when "(1) the same party has taken two positions; (2) the positions were taken in judicial or quasi-judicial administrative proceedings; (3) the party was successful in asserting the first position (i.e., the tribunal adopted the position or accepted it as true); (4) the two positions are totally inconsistent; and (5) the first position was not taken as a result of ignorance, fraud, or mistake." (<i>Vaghashia v. Vaghashia</i> (2024) 106 Cal. App. 5th 188, 195 [emphasis added].) Defendant's interpretation of CCP § 1281.98 was not successfully asserted or accepted as true by either court. The court also disagrees with Plaintiff's contention that Defendant's counsel acted below the professional standard of care. The court finds that Defendant has met its burden to show that its counsel's conduct was based on an inadvertent, good faith mistake, and not done willfully, fraudulently or with gross negligence. Further, Plaintiff has failed to demonstrate any actual prejudice from the delay. Accordingly, Defendant is excused from a finding of material breach for its delay in making the JAMS invoice payment pursuant to CCP § 1281.98. Defendant is ordered to give notice of this ruling.
9	30-2025-01528311 Rivera vs. Electrolurgy Manufacturing, Inc.	Off Calendar

10	30-2024-01439280 Espina vs. J & E Hospitality Group Inc.	Counsel Jorge Ledezma of Ledezma Law, APLC's ("Counsel") Motion to Be Relieved as Counsel for Defendant J&E Hospitality Group, Inc. ("J&E"), Counsel's Motion to Be Relieved as Counsel for Defendant Taste Mexico Hospitality, Inc. ("Taste"), Counsel's Motion to Be Relieved as Counsel for Defendant Sol Agave Group, Inc. ("Sol Agave"), Counsel's Motion to Be Relieved as Counsel for Defendant Prime Hospitality Group, Inc. ("Prime"), and Counsel's Motion to Be Relieved as Counsel for Defendant Rafael Dominguez Lopez ("Lopez") are GRANTED. (CCP § 284(2).) Counsel has complied with the requirements of CRC Rule 3.1362. The Court shall sign and enter the [Proposed] Order, but with a revision to Paragraph 7(a)-(b) to state that the next scheduled hearing is set for 8/31/2026 at 1:30 PM in Department CX103 for a Status Conference and Motion to Be Relieved as Counsel of Record. IT IS ORDERED THAT Notice of Entry of Order and Proof of Service must be filed by Counsel. Counsel remains counsel for each Defendant until Proof of Service upon that Defendant is filed. The court hereby sets an Order to Show Cause why J&E, Taste, Sol Agave, and Prime's Answer should not be stricken due to the fact that each of these defendants are corporations but does not have an attorney of record. (<i>CLD Construction, Inc. v. City of San Ramon</i> (2004) 120 Cal. App. 4th 1141, 1150 ["[T]he court retains authority to dismiss an action if an unrepresented corporation does not obtain counsel within reasonable time."].) The hearing is set for October 20, 2026 at 9:00 a.m. Counsel is ordered to give notice of the ruling.
11	30-2025-01495811 Frye vs. Rancho Silverado Stables, LLC	Defendants Rancho Silverado Stables, LLC, Heather Perkins, Fawn Rinalduzzi, Eardog Productions LLC, Kimberly M. Wang; Argaux LLC, and Argaux & Amliere LLC's (collectively, "Defendants") Demurrer to Plaintiff Steve Frye's ("Plaintiff") First Amended Complaint ("FAC") is OVERRULED IN PART AND SUSTAINED WITH LEAVE TO AMEND IN PART. IT IS ORDERED THAT Plaintiff shall file an amended complaint within twenty (20) days of this ruling. The court GRANTS Defendants' requests for judicial notice of Exhibits B-G (other complaints purportedly filed by Plaintiff, for which the court only takes judicial notice of their existence), and Exhibits J-L (a Presidential Proclamation, federal statute, and a

		resolution of the California Legislature). (Cal. Evid. Code §§ 452(a), (d).) The court DENIES Defendants’ request for judicial notice of Exhibit A (a list of cases involving plaintiffs with the name “Steve Frye”) and Exhibits H-I (pages from the U.S. Polo Association’s website) as these are not the proper subject for judicial notice. This action arises from Plaintiff’s claim that he (an adult male) was discriminated against on the basis of sex in violation of the Unruh Civil Rights Act (“UCRA”) by Defendants by being precluded from participating in female-only “Ladies Night” events at the Orange County Polo Club on July 20, 2023, July 25, 2024, and July 17, 2025. Plaintiff alleges that he contacted Defendants about one of the Ladies Night events and was told that Defendants were “trying to keep this event all ladies,” and then after Plaintiff purchased a ticket to one of the events, Plaintiff was denied entry and given a refund for his ticket. The Unruh Civil Rights Act (“UCRA”) states that “[a]ll persons within the jurisdiction of this state are free and equal, and no matter what their sex, race, color, religion, ancestry, national origin, disability, medical condition, genetic information, marital status, sexual orientation, citizenship, primary language, or immigration status are entitled to the full and equal accommodations, advantages, facilities, privileges, or services in all business establishments of every kind whatsoever.” (Cal. Civ. Code § 51(b).) “No business establishment of any kind whatsoever shall discriminate against, boycott or blacklist, or refuse to buy from, contract with, sell to, or trade with any person in this state on account of any characteristic listed or defined in subdivision (b) or (e) of Section 51, or of the person's partners, members, stockholders, directors, officers, managers, superintendents, agents, employees, business associates, suppliers, or customers, because the person is perceived to have one or more of those characteristics, or because the person is associated with a person who has, or is perceived to have, any of those characteristics.” (Cal. Civ. Code § 51.5(a).) The UCRA “must be construed liberally in order to carry out its purpose.” (<i>Angelucci v. Century Supper Club</i> (2007) 41 Cal. 4th 160, 167.) “The Act expresses a state and national policy against discrimination on arbitrary grounds.” (<i>Id.</i>) “Its provisions were intended as an active measure that would create and preserve a nondiscriminatory environment in California business establishments by ‘banishing’ or ‘eradicating’ arbitrary, invidious
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		discrimination by such establishments.” (<i>Id.</i>) First, Defendants demur to both causes of action under the UCRA on the ground that the First Amended Complaint (“FAC”) fails as to either claim because Plaintiff’s deliberately manufactured injury precludes relief. Defendants provide copies of other complaints filed by Plaintiff to argue that he is a serial plaintiff who manufactures UCRA claims. (Defs.’ RJN, Exs. B-G.) Here, Defendants rely solely on one appellate court opinion concerning a summary judgment motion—not a demurrer—involving a plaintiff who brought a manufactured UCRA claim. The appellate court stated that “it is imperative we not denigrate [the UCRA’s] power and efficacy by applying it to manufactured injuries[.]” (<i>Cohn v. Corinthian Colleges, Inc.</i> (2008) 169 Cal. App. 4th 523, 526 [affirming trial court’s grant of summary judgment against plaintiff on UCRA claim based on Angels Baseball LP’s Mother’s Day tote bag giveaway].) In <i>Cohn</i>, “Cohn and two friends went to the game, requested tote bags, were refused twice and left shortly thereafter.” (<i>Id.</i>) “Cohn’s counsel sent a complaint to the Angels bemoaning the fact Cohn did not receive a tote bag, and the Angels responded by sending four tote bags, one for Cohn, his counsel, and his friends.” (<i>Id.</i>) The court determined that “Cohn’s complaint only came after he went to the game to deliberately generate his ‘injury.’” (<i>Id.</i> at 529.) The court noted that “Cohn’s complaint gathers further suspicion because Cohn, his friends, and his counsel have been involved in numerous of what have been characterized as ‘shake down’ lawsuits.” (<i>Id.</i>) The court explained “[t]he Unruh Act is a valuable tool for protecting our citizens and remedying true injuries.” (<i>Id.</i>) The court held that in light of the manufactured nature of the plaintiff’s claim, it was “not convinced the Angels’ tote bag giveaway was in anyway unreasonable, arbitrary, or invidious discrimination,” especially as no other fans complained about the giveaway. (<i>Id.</i>) Thus, the appellate court’s discussion of the manufactured nature of the claim was heavily fact-dependent. More importantly, the manufactured claim was only relevant to whether plaintiff could establish an unreasonable, arbitrary or invidious discrimination. The <i>Cohn</i> court did not establish any bright line rule barring UCRA claims that are manufactured. Instead, the <i>Cohn</i> court affirmed summary judgment because there was insufficient evidence that the giveaway at issue constituted the kind of discriminatory conduct that is subject to the UCRA. The court stated that “the Angels’ intent was to honor mothers on Mother’s Day,” but “[d]ue to the volume of attendees
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	and time pressure, it would be impracticable for the Angels to make sure each woman who received a tote bag was in fact a mother.” (<i>Cohn</i>, 169 Cal. App. 4th at 528.) “Instead, the Angels adopted a practical approach of giving tote bags to all females over 18 years old.” (<i>Id.</i>) “Thus, the intended discrimination is not female versus male, but rather mothers versus the rest of the population.” (<i>Id.</i>) The court stated that “[n]owhere in the Unruh Act is there any mention of requiring the treatment of mothers to be exactly the same as that of non-mothers.” (<i>Id.</i>) “[U]nreasonable, arbitrary, or invidious gender discrimination is present where the policy or action ‘emphasizes irrelevant differences between men and women’ or perpetuates any irrational stereotypes.” (<i>Id.</i>) The court concluded that “[t]he tote bag giveaway honors mothers as a group of individuals without promoting any irrational stereotypes, and therefore does not violate the Unruh Act.” (<i>Id.</i> at 528-529.) Further, the court noted that unlike gender-based discounts, “[t]he tote bag simply represented a gift and did not discount the admission price.” (<i>Id.</i> at 530.) “If the intent is for the item to be a gift, rather than an attempt to circumvent the ban on gender based discounts, then such a gift is permissible.” (<i>Id.</i>) Accordingly, there is no legal basis for Defendants’ first ground for demurrer. Further, to the extent Defendants argue that Plaintiff’s claim is manufactured, that is a factual issue outside the scope of the pleadings. The court overrules the demurrer on this first ground. Second, Defendants demur to both causes of action on the ground that the FAC fails to state either claim because it does not allege arbitrary, unreasonable, or invidious discrimination. Defendants argue that the subject events were designed to introduce women to polo and encourage women to participate in the sport, which Defendants contend are compelling societal interests. In opposition, Plaintiff argues that any discrimination based on sex is per se unlawful under the UCRA regardless of intent, citing to <i>C.R. Dep’t v. Cathy’s Creations, Inc.</i> (2025) 109 Cal. App. 5th 204, 227. However, that court explained that while “[g]enerally, policies that make a facial distinction based on an enumerated protected characteristic have been held to be unlawful as arbitrary, invidious or unreasonable discrimination,” “[s]trong public policy based on a compelling societal interest, typically evidenced by statutory enactments, may support as reasonable (and thus not arbitrary) an otherwise prohibited discriminatory distinction[.]” (<i>Id.</i>) Thus, while the <i>C.R. Dep’t</i> court did not find
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	the defendant’s religious beliefs relevant to the question of intentionality, the court did not hold that all facially discriminatory policies on the basis of a protected class are per se illegal under the UCRA as Plaintiff contends. (<i>Id.</i> at 232.) Nevertheless, Defendants’ claimed compelling social interests are outside the scope of the FAC and are not the proper basis for sustaining a demurrer. Here, Plaintiff alleges in the FAC that “Defendants’ denial and/or exclusion of Plaintiff and other non-female persons from the Subject Events did not serve any important public policy or societal interest, and instead constituted intentional, arbitrary, unreasonable, malicious, and/or invidious discrimination in violation of Civil Code §§ 51 and 51.5.” (FAC ¶ 47.) Plaintiff alleges that “Defendants’ exclusion of non-female persons from the “Ladies’ Night” events was merely a business practice of pandering to an identified market segment, i.e., females, for the benefit of Defendants’ economic self-interest[.]” (<i>Id.</i> ¶ 48.) Plaintiff goes on to allege that polo is a co-ed sport, and argues that even if there were only female players competing in any event day, there is no rational basis for excluding non-female spectators. (FAC ¶¶ 49-50.) Further, whether Defendants’ policy actually promotes a compelling societal interest is a factual issue also outside the scope of the FAC. A compelling societal interest is “simply a way of stating that the justification tendered for the disparate treatment would have to be of sufficient societal benefit to render the disparate treatment reasonable and not arbitrary.” (<i>Javorsky v. W. Athletic Clubs, Inc.</i> (2015) 242 Cal. App. 4th 1386, 1397.) “The phrase does not necessarily mandate an extraordinarily high or laudable justification in every conceivable case under the Act, but merely one that is sufficient given the nature of the <i>particular</i> disparate treatment at issue and other attendant circumstances.” (<i>Id.</i> [emphasis in original].) The court noted as an example that a “discount for children and seniors did not violate the Act: the discount was designed to promote the family-oriented nature of the business; it benefited disadvantaged groups (since seniors and children have less disposable income); public policy encouraged the availability of societal benefits to children and the elderly; and statutes in other contexts were designed to assist children and the elderly.” (<i>Id.</i> at 1398.) “[A] policy treating age groups differently . . . may be upheld, at least if the pricing policy (1) ostensibly provides a social benefit to the recipient group; (2) the recipient group is disadvantaged economically when compared to other groups paying full price; and (3) there is no invidious discrimination.” (<i>Id.</i> at 1399.) Accordingly, the question of
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	whether the subject conduct is reasonable and justified is heavily fact-dependent. In <i>Koire v. Metro Car Wash</i> (1985) 40 Cal. 3d 24, 32, the court held that a discount for female patrons on “Ladies Night” at a bar violated the UCRA notwithstanding the bar’s claim that the discount was for social and business purposes. The court stated that a discount for female patrons intended to “encourage[e] men and women to socialize in a bar—is a far cry from the social policies which have justified other exceptions to the Unruh Act.” (<i>Id.</i> at 33.) The court also noted that “differential pricing based on sex may be generally detrimental to both men and women, because it reinforces harmful stereotypes.” (<i>Id.</i> at 34.) “[T]he nature of the business enterprise or the facilities provided has been asserted as a basis for upholding a discriminatory practice <i>only</i> when there is a strong public policy in favor of such treatment.” (<i>Id.</i> at 31 [emphasis in original].) Here, whether the social policy promoted by the subject events is a strong enough public policy to justify the discriminatory conduct is a factual issue that should not be decided at the demurrer stage. Thus, the court overrules the demurrer on this second ground. Third, Defendants demur to both causes of action on the grounds that the FAC fails to allege facts sufficient for a class action. The court continued the hearing on this Demurrer to allow for supplemental briefing on this issue. “[C]ourts have routinely decided the issue of class certification on demurrer, sustaining demurrers without leave to amend where it is clear that there is no reasonable possibility that the plaintiffs could establish a community of interest among the potential class members and that individual issues predominate over common questions of law and fact.” (<i>Tucker v. Pac. Bell Mobile Servs.</i> (2012) 208 Cal. App. 4th 201, 212 [emphasis added].) “If there is a reasonable possibility the plaintiffs can plead a prima facie community of interest among class members, ‘the preferred course is to defer decision on the propriety of the class action until an evidentiary hearing has been held on the appropriateness of class litigation.’” (<i>Id.</i> at 215.) When a “complaint alleges there is an ascertainable class and plaintiffs may be able to demonstrate a community of interest as to the elements of their claim[], aside from the amount of damages suffered by each class member,” the court should overrule the demurrer as to the class claims. (<i>Vasquez v. Superior Ct.</i> (1971) 4 Cal. 3d 800, 815.) “It may be, of course, that the trial court will determine in subsequent
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	proceedings that some of the matters bearing on the right to recovery require separate proof by each class member,” but “the maintenance of the suit as a class action is not precluded so long as the issues which may be jointly tried, when compared to those requiring separate adjudication, justify the maintenance of the suit as a class action.” (<i>Id.</i>) “If the questions which must be litigated separately are not numerous or substantial, it would be advantageous to the parties and the judicial system to allow the named plaintiffs to sue on behalf of the class.” (<i>Id.</i>) The FAC seeks to define the class as “[a]ll non-female persons who encountered Defendants’ discriminatory terms and conditions for Defendants’ Ladies Night events during the class period, and were thereby excluded from receiving the same full and equal accommodations, advantages, facilities, privileges, or services that Defendants provided to female persons, solely on the basis of sex.” (FAC ¶ 53.) The common question of law/fact at issue is “[w]hether the non-female persons who encountered Defendants’ terms and conditions for Defendants’ Ladies Night events during the class period, were thereby excluded from receiving the same full and equal accommodations, advantages, facilities, privileges, or services that Defendants provided to female persons, solely on the basis of sex.” (<i>Id.</i> ¶ 54(b)(1).) Defendants contend that this class definition is too broad as it does not satisfy the standing requirements for a UCRA claim. Defendants argue that the proposed class definition includes anyone who is merely aware of Defendants’ allegedly discriminatory events. The court agrees that the current class definition is overbroad and does not define a class that has standing to bring a UCRA claim. “[A]n individual plaintiff has standing under the Act if he or she has been the victim of the defendant's discriminatory act.” (<i>White v. Square, Inc.</i> (2019) 7 Cal. 5th 1019, 1025.) For brick-and-mortar establishments, “a plaintiff who has transacted with a defendant and who has been subject to discrimination has standing under the Act.” (<i>Id.</i> at 1026; <i>Orloff v. Hollywood Turf Club</i> (1952) 110 Cal. App. 2d 340, 343 [There is “no duty or obligation on the part of the defendant to the plaintiff arising out of a contractual obligation and none arising out of law, unless and until the plaintiff tendered to the defendant a ticket of admission issued by it or its price charged to all persons who alike sought admission to its track.”]; <i>Angelucci</i>, 41 Cal. 4th at 175 [In discriminatory pricing cases, “injury occurs when the discriminatory policy is applied to the plaintiff—that is, at the
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		time the plaintiff patronizes the business establishment, tendering the nondiscounted price of admission.”].) Here, the class definition does not limit the class to non-female persons that purchased tickets to the Ladies Night events and were discriminated against by being excluded from the event. Instead, the class is broadly defined to include “[a]ll non-female persons who encountered Defendants’ discriminatory terms and conditions for Defendants’ Ladies Night events.” In supplemental briefing, Plaintiff attempts to narrow the class to all non-female persons on Defendants’ newsletter distribution list, but that is not the class definition pled in the FAC. Further, Plaintiff fails to demonstrate that a putative class member being sent Defendants’ newsletters is sufficient to show that the class member transacted with Defendants in a way that subjected the class member to discriminatory policies or practices. Plaintiff cites to no authority that allows a plaintiff or class member to assert a UCRA claim simply because they have previously done business with a defendant unconnected to the purported discriminatory policy. Absent a transaction involving discriminatory policies or practices, a “mere awareness of a business’s discriminatory policy or practices is not enough for standing.” (<i>White</i>, 7 Cal. 5th at 1029.) Standing in such a case requires that a plaintiff “visited a business establishment with the intent to use its services.” (<i>Id.</i> at 1030.) At the pleading stage, a plaintiff must allege that he or she “intended to make use of the business’s services” but “encountered discriminatory terms.” (<i>Id.</i> at 1032.) At summary judgment or at trial, “to prevail on [an] Unruh Civil Rights Act claim,” a plaintiff has to show a “bona fide intent” to use the defendant’s services. (<i>Thurston v. Omni Hotels Mgmt. Corp.</i> (2021) 69 Cal. App. 5th 299, 307; <i>id.</i> at 309 [“[W]e do not agree that an Unruh Civil Rights Act claimant’s intent or motivation for visiting the covered public accommodation is irrelevant to a determination of the merits of his or her claim.”].) Here, Plaintiff’s class definition is not limited to those who had a bona fide intent to attend a Ladies Night event. With respect to a class defined by Defendants’ newsletter distribution list, the court questions Plaintiff’s assumption that all non-female persons in Defendants’ newsletter distribution list have a bona fide intent to attend a Ladies’ Night event simply because they may be interested in attending co-ed events. Nevertheless, the court finds that whether the defined class has a bona fide intent to attend a Ladies’ Night event and whether
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		proving a bona fide intent may be managed in a class action should be decided at the class certification stage. In sum, to have standing for UCRA claim, either a class member must have purchased a ticket to a Ladies Night event and was denied admission for not being female, or had a bona fide intent to purchase a ticket to a Ladies Night event but did not do so because of Defendants’ purportedly discriminatory policy. As the class is currently defined, Plaintiff has failed to allege a class that is amenable to class treatment for a UCRA claim. Plaintiff must either amend the class definition to all non-female persons that purchased tickets to the Ladies Night event and were subject to discrimination (such that bona fide intent is not a factor), or narrow the class definition to only those with a bona fide intent to attend a Ladies Night event and encountered Defendants’ purportedly discriminatory policy. The court sustains with leave to amend the demurrer on this third ground. Defendants also argue that the subject class is not amenable to class treatment because the claim involves the individualized question of whether class members had a bona fide intent to use Defendants’ services. “[A] class as ascertainable when it is defined ‘in terms of objective characteristics and common transactional facts’ that make ‘the ultimate identification of class members possible when that identification becomes necessary.’” (<i>Noel v. Thrifty Payless, Inc.</i> (2019) 7 Cal. 5th 955, 974.) Courts “require that classes be defined clearly and based on objective criteria.” (<i>Id.</i> at 977.) “[T]he requirement of a clearly defined class based on objective criteria . . . serves to weed out ‘classes that are defined too vaguely[,]’ . . . [and] ‘classes that are defined by subjective criteria, such as by a person's state of mind’ . . . all of which raise due process or other fairness concerns.” (<i>Id.</i>) However, as stated above, “[i]f the questions which must be litigated separately are not numerous or substantial, it would be advantageous to the parties and the judicial system to allow the named plaintiffs to sue on behalf of the class.” (<i>Vasquez</i>, 4 Cal. 3d at 815; <i>Ayala v. Antelope Valley Newspapers, Inc.</i> (2014) 59 Cal. 4th 522, 539 [“Individual issues do not render class certification inappropriate so long as such issues may effectively be managed.”].) Defendants cite two cases that discuss dismissing class claims at the demurrer stage. In <i>Weaver v. Pasadena Tournament of Roses Ass’n</i> (1948) 32 Cal. 2d 833, 841, the court stated that a common question of law among class members is insufficient to support
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		class treatment if it still leaves to be litigated several factual questions for each individual before liability can be established. In that case, the court determined that after the common issues were decided, the court still needed to determine “the right of any other person to recover on his statutory claim in the light of whether <i>he</i>, in reliance upon the advertised sale, stood in line, received an identification stub, was denied tickets before the promised 7,500 had been sold, presented himself at the Rose Bowl as a ‘sober, moral person,’ demanded admission, tendered the price, and was refused, entitling him “to recover ... his actual damages” as well as the fixed statutory penalty of \$100.” (<i>Id.</i>) Demurrer to class claims should be sustained when “[t]he only issue common to the named plaintiffs and unnamed class members is essentially one of law: whether the respondents are liable under the Act for wrongful exclusion of any person possessing the alleged personal characteristics.” (<i>Bartlett v. Hawaiian Vill., Inc.</i> (1978) 87 Cal. App. 3d 435, 440.) “That circumstance alone does not fulfill the required element of ‘community of interest’ . . . since . . . each claimant must still litigate a number of substantial fact questions peculiar to his right of recovery.” (<i>Id.</i>; <i>id.</i> n.6 [“For example, each plaintiff must independently establish that he presented himself to The Club Baths and demanded admittance, that he tendered the admission fee, that he was ejected or refused admission, that he possessed one or more of the enumerated characteristics, and that his ejection or exclusion was otherwise without good cause. Moreover, each must litigate his own actual damages beyond the statutory minimum.”].) <i>Weaver</i> and <i>Bartlett</i> involved situations where the court determined that it was clear that individualized inquiries as to liability and damages dominated over the one common legal question among class members. Here, the only individualized factual question adequately established by Defendants concerns each class member’s bona fide intent to attend the subject events. It is premature for the court to determine whether this question would involve such individualized facts as to render class treatment improper. Rather, this issue should be determined at the class certification stage. Defendants are ordered to give notice of this ruling.
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12	30-2025-01519940 Gomez vs. Chamberlin Care, LLC, a California Limited Liability Company	Defendant Chamberlin Care, LLC's Motion to Compel Arbitration is DENIED AS MOOT on the grounds that the parties appear to have settled the only remaining claim in this action (the PAGA claim). This denial is without prejudice should the PAGA settlement not be approved by the court.
13	30-2026-01545264 Torreblanca Bahena vs. L837, Inc., a California corporation	Defendant L837, Inc.'s ("Defendant") Motion to Compel Arbitration is DENIED. The court GRANTS Defendant's request for judicial notice of Defendant's Notice and Acknowledgment of Receipt – Civil of the class action complaint. (Cal. Evid. Code § 452(d).) The court GRANTS Defendant's request for judicial notice that L837, Inc. is the legal entity name of the dealership that does business as Anaheim Hyundai. (Cal. Evid. Code § 452(h).) The court DENIES Defendant's requests for judicial notice of the arbitration rules as they are not the proper subject for judicial notice. The court GRANTS Plaintiff's requests for judicial notice of the trial court's minute order dated June 4, 2025, in the case <i>Olsaba v. Lithia Motors, Inc., et al.</i>, Los Angeles Superior Court Case No. 24STCV31335, denying Defendant Lithia Motors, Inc.'s (and one of its subsidiaries) motion to compel arbitration, and the California Court of Appeal's (Second District) opinion in the appeal <i>Olsaba v. Lithia Motors, Inc., et al.</i> (No. B348587), issued May 26, 2026, affirming the trial court's June 4, 2025 denial. (Cal. Evid. Code § 452(d).) The court OVERRULES Plaintiffs' objections to the declaration of Michelle Rummer as she has established sufficient foundation for her statements based on her position and review of L837's records. The court OVERRULES Defendant's objections to Plaintiffs' declarations as they go to the weight, and not the admissibility of the evidence. The court OVERRULES Defendant's objections to the trial court and appellate court opinions in <i>Olsaba v. Lithia Motors, Inc., et al.</i> as they are not inadmissible hearsay evidence. (Cal. Evid. Code § 1280 [hearsay exception for record by public employee]; <i>People v. Woodell</i> (1998) 17 Cal. 4th 448, 458 ["[A] court may judicially notice an opinion under Evidence Code section 452 or admit it into evidence under the official record exception to the hearsay rule (Evid.Code, § 1280)[.]"].)

	<u>I. Existence of the Agreement</u> “The petitioner bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (<i>Ruiz v. Moss Bros. Auto Grp.</i> (2014) 232 Cal. App. 4th 836, 842.) The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination. (<i>Id.</i>) The petitioner must show that the plaintiff employee “was the person who electronically signed the [arbitration agreement]” with sufficient evidence that the electronic signature “was the act of [the plaintiff employee].” (<i>Id.</i> at 842.) “[A]ny writing must be authenticated before the writing, or secondary evidence of its content, may be received in evidence.” (<i>Id.</i> at 843.) “<i>The act of the person may be shown in any manner</i>, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable.” (<i>Id.</i> [emphasis in original].) A petitioner must show “how [the plaintiff employee’s] printed electronic signature, or the date and time printed next to the signature, came to be placed on the [arbitration] agreement,” so as to show how petitioner ascertained that the electronic signature was “the act of” the plaintiff employee. (<i>Id.</i> at 844.) “In the face of [a plaintiff employee’s] failure to recall electronically signing the [arbitration] agreement, the fact the [] agreement had an electronic signature on it in the name of [a plaintiff employee], and a date and time stamp for the signature, [i]s insufficient to support a finding that the electronic signature was, in fact, ‘the act of’ [the plaintiff employee].” (<i>Id.</i>) “[A] party may present evidence that the signatory was required to use a unique, private login and password to affix the electronic signature, along with evidence detailing the procedures the person had to follow to electronically sign the document and the accompanying security precautions.” (<i>Garcia v. Stoneledge Furniture LLC</i> (2024) 102 Cal. App. 5th 41, 53.) To carry its burden, the petitioner must show that “<i>only</i> [the plaintiff employee] could have placed the electronic signature on the arbitration agreement.” (<i>Id.</i> [emphasis in original].) The burden is not met when an employer defendant “did not detail the security precautions regarding the use of the [] username and password; the arbitration agreement lacked a date, time, or IP address; and the agreement contained no indication it was created within the
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		[onboarding] system.” (<i>Id.</i> at 54.) Michelle Rummer, the Senior Manager, People Operations for Lithia Motors Support Services, Inc. (“LMSS”), provides her declaration regarding the Arbitration Agreement. (Rummer Dec. ¶ 2.) LMSS is a shared management services company that provides administrative services, including human resources, advertising, and information technology (“IT”), to all dealerships and subsidiaries within the LMI automotive network. (<i>Id.</i>) Ms. Rummer states the following: • Plaintiffs were hired by L837 on October 20, 2025. (Rummer Dec. ¶ 6.) • In 2025, LMSS utilized the Workday Human Capital Management (“Workday”) as its job applicant tracking and onboarding system. LMSS used Workday to allow all dealerships within the LMI automotive network, including L837, Inc., to publish job postings, track applicants, schedule interviews, and onboard new employees. (Rummer Dec. ¶ 10.) • In order to successfully onboard, Workday requires a candidate to create an account by inputting their email address and creating a password. Following the creation of an account by which the candidate is the only person who knows of the password, the candidate must navigate to the arbitration agreement and click on the task to complete the document and electronically sign their employment agreements and acknowledgements using Adobe Sign. (Rummer Dec. ¶ 11.) • Based on the October 21, 2025 Adobe Sign Final Audit Report (the “Bahena Report”), on October 21, 2025 at 2:19 p.m. Pacific Daylight Time (PDT), Mr. Bahena entered his name as “Jerry Torreblanca-Bahena” and acknowledged and agreed to be bound by the “Lithia & Driveway Binding Arbitration Agreement” (the “Bahena Agreement”) via electronic signature. (Rummer Dec. ¶ 13.) • Based on the October 14, 2025 Adobe Sign Final Audit Report (the “Saltalamacchia Report”), on October 14, 2025 at 3:23 a.m. PDT, Mr. Saltalamacchia entered his name as “Umberto Saltalamacchia” and acknowledged and agreed to be bound by the “Lithia & Driveway Binding Arbitration Agreement” (the “Saltalamacchia Agreement”) via electronic signature. (Rummer Dec. ¶ 15.) • Based on the October 8, 2025 Adobe Sign Final Audit Report (the “Rodriguez Report”), on October 8, 2025 at
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		7:41 a.m. PDT, Mr. Rodriguez entered his name as “Alfredo Rodriguez” and acknowledged and agreed to be bound by the “Lithia & Driveway Binding Arbitration Agreement” (the “Rodriguez Agreement”) via electronic signature. (Rummer Dec. ¶ 17.) Plaintiffs challenge Ms. Rummer’s ability to authenticate the electronic arbitration agreements on the grounds that “her statements involving activities before [she began working for Defendant] cannot be based on personal knowledge and must be based on hearsay.” (<i>LAOSD Asbestos Cases</i> (2023) 87 Cal. App. 5th 939, 951.) However, this argument is only valid if the corporate declarant attests to facts based on her personal knowledge, rather than as the custodian of records. (<i>Id.</i> [noting that the defendant failed to demonstrate that the exhibits attached to the corporate representative’s declaration satisfied the business records exception to hearsay pursuant to Evid. Code § 1271].) “[T]he custodian of a document need not have been present or employed when the document was created or signed to authenticate a document in a company’s files.” (<i>Iyere v. Wise Auto Grp.</i> (2023) 87 Cal. App. 5th 747, 758.) Plaintiff Rodriguez denies that the email Ms. Rummer claims is associated with his Workday account (and used to execute the Arbitration Agreement) is his. (Rodriguez Dec. ¶ 9.) However, Ms. Rummer explains in her supplemental declaration: • The previous ownership of the Dealership provided a roster of employees and their contact information. On that roster, Plaintiff ALFREDO RODRIGUEZ’s (“Mr. Rodriguez”) email was listed as “fredyrodriquez@icloud.com.” This was the recorded email address on Mr. Rodriguez’s Workday account. (Rummer Dec. ¶ 3.) • Generally, if an employee is unable to access their account due to incorrect login credentials, the employee will contact my team to request a temporary password. My team first verifies the employee’s identity using the employee’s personal information, such as date of birth and social security number. Upon verification, the temporary password is provided to the employee. The employee can then access their Workday account. (<i>Id.</i> ¶ 5.) • On October 8, 2025, Mr. Rodriguez signed onto his Workday account through a password reset. Mr. Rodriguez executed the binding Arbitration Agreement on October 8, 2025 at 7:41 a.m. Since
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		“fredyrodriquez@icloud.com” was the email address associated with Mr. Rodriguez’s Workday account at that time, the Adobe Sign Final Audit Report (the “Rodriguez Report”) reflects that the Arbitration Agreement was completed using that email address. (<i>Id.</i> ¶ 6.) • Mr. Rodriguez updated his email address to “fredyrodriquez10@icloud.com” at 7:43 a.m., two minutes after signing the Arbitration Agreement. (<i>Id.</i> ¶ 7, Ex. A.) The court finds that Defendant has met its burden to establish the existence of Plaintiff Rodriguez’s arbitration agreement. Plaintiff Bahena testified that (i) he accessed Lithia’s onboarding documents through an onsite computer of Defendant; (ii) that his account remained open and unprotected while he stepped away from the computer during his meeting; and (iii) he observed his supervisor accessing the computer with his Workday account open and potentially executing the Arbitration Agreement on his behalf without his consent. (Bahena Dec. ¶¶ 4, 10-12.) The court finds that Plaintiff Bahena’s claims are based on speculation. Accordingly, the court finds that Defendant has met its burden to establish the existence of Plaintiff Bahena’s arbitration agreement. Plaintiff Saltalamacchia contends that he faced language barriers and does not recall ever being sent, presented with, reviewing, or signing the Arbitration Agreement. (Saltalamacchia Dec. ¶¶ 6-7.) “Generally, a party may not avoid enforcement of an arbitration provision because the party has limited proficiency in the English language.” (<i>Caballero v. Premier Care Simi Valley LLC</i> (2021) 69 Cal. App. 5th 512, 518.) “If a party does not speak or understand English sufficiently to comprehend a contract in English, it is incumbent upon the party to have it read or explained to him or her.” (<i>Id.</i> at 518-519.) A plaintiff cannot challenge the existence of a contract when “there is no evidence he asked . . . for a Spanish version of the agreement or assistance in understanding the English version.” (<i>Id.</i> at 519.) Plaintiff Saltalamacchia states that a Lithia corporate email account was used for his Workday account and speculates that another employee, Defendant and/or LMSS could have accessed his account. However, he fails to provide any evidence that his corporate e-mail could be accessed by anyone other than himself. The court finds that Defendant has met its burden to establish the existence of Plaintiff Saltalamacchia’s arbitration agreement.
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II. Unconscionability

“[U]nconscionability has both a ‘procedural’ and a ‘substantive’ element, the former focusing on ‘oppression’ or ‘surprise’ due to unequal bargaining power, the latter on ‘overly harsh’ or ‘one-sided’ results.” (*Armendariz v. Found. Health Psychcare Servs., Inc.* (2000) 24 Cal. 4th 83, 114.) “The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” (*Id.*) “But they need not be present in the same degree.” (*Id.*) “Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.” (*Id.*) “In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Id.*)

“Where a contract has several distinct objects, of which one at least is lawful, and one at least is unlawful, in whole or in part, the contract is void as to the latter and valid as to the rest.” (Cal. Civ. Code § 1599.) “If the central purpose of the contract is tainted with illegality, then the contract as a whole cannot be enforced.” (*McManus v. CIBC World Markets Corp.* (2003) 109 Cal. App. 4th 76, 101.) “If the illegality is collateral to the main purpose of the contract, and the illegal provision can be extirpated from the contract by means of severance or restriction, then such severance and restriction are appropriate.” (*Id.*)

A. Procedural Unconscionability

Defendant concedes that there is some level of procedural unconscionability as the Arbitration Agreement was a contract of adhesion required as a condition of employment. (Mot. at pp. 7-9.) Plaintiffs also contend that they were pressured to sign the documents so they could return to work or could lose their jobs, and, as to Plaintiff Saltamacchia, was presented to him in English rather than his native language. (Bahena Dec. ¶¶ 5, 11; Saltamacchia Dec. ¶¶ 5-6; Rodriguez Dec. ¶¶ 6-7.) Thus, there is substantial evidence of procedural unconscionability.

The appellate and trial court in *Olsaba* reviewing this same agreement determined that there was a moderate level of unconscionability. (Plaintiffs’ RJN, Ex. B at p. 4.)

B. Substantive Unconscionability

Plaintiff argues that the Arbitration Agreement is substantively unconscionable because it unlawfully waives PAGA representative rights. Courts have stated that such waivers demonstrate that agreement is unconscionable as “one-sided” because “[t]hese requirements can fairly be read to limit only the employee's rights.” (*Hasty v. Am. Auto. Assn. et al.* (2023) 98 Cal. App. 5th 1041, 1062.) Further, “an employee's right to bring a claim under the Act is not waivable.” (*Id.* at 1063.) “The ban on *all* representative Act actions thus remains unconscionable because it requires an employee to waive a right that is not waivable.” (*Id.*) Thus, the PAGA waiver demonstrates substantive unconscionability. Defendant argues that this action does not include a PAGA claim. However, “for purposes of an unconscionability analysis, it is irrelevant that [an employee] did not assert any PAGA claims.” (*Stoker v. Blue Origin, LLC* (2026) 120 Cal. App. 5th 91, 112 n.6.) The court finds that this provision is unconscionable.

Plaintiffs also contend that the scope of the Arbitration Agreement overbroad because it extends beyond employment claims, and lasts indefinitely. Courts have deemed unconscionable broad arbitration agreement that require an employee to “arbitrate claims that are unrelated to her employment” with the defendant employer. (*Cook v. Univ. of S. California* (2024) 102 Cal. App. 5th 312, 321 [discussing an agreement that requires the arbitration of “all claims, whether or not arising out of Employee's University employment, remuneration or termination, that Employee may have against the University or any of its related entities, including but not limited to faculty practice plans, or its or their officers, trustees, administrators, employees or agents, in their capacity as such or otherwise; and all claims that the University may have against Employee.”].) However, unlike in *Cook*, this agreement specifically limits itself to disputes “arising out of or related to my employment, including regarding the terms of my own pay plan, termination from employment, or any other association I have with the Company.” Thus, the court does not find this language unconscionably overbroad.

Plaintiffs also argue that the agreement is substantively unconscionable because it extends beyond Plaintiffs and Defendant to benefit third-party beneficiaries of Defendant

		without justification or any reciprocal benefit to Plaintiffs. The Arbitration Agreement includes in its definition of “Company” L837’s “affiliates, parents, subsidiaries, predecessors, successors, owners, directors, officers, managers, employees, agents, and parties affiliated with its employee benefit and health plans.” Courts have found similar provisions unconscionable because “[t]he plain language of the arbitration agreement thus provides a significant benefit to [defendant employer’s] related entities without any reciprocal benefit to [plaintiff employee].” (<i>Cook</i>, 102 Cal. App. 5th at 328.) Defendant argues that the provision is not one-sided in that it somehow binds Defendant’s “affiliates, parents, subsidiaries, predecessors, successors, owners, directors, officers, managers, employees, agents, and parties affiliated with its employee benefit and health plans” to an agreement to arbitrate any claims they may have against Plaintiffs. However, Defendant provides no authority for the proposition that it could bind these third parties to the Arbitration Agreement when they are not signatories to the agreement. The court finds that this provision is unconscionable as one-sided. Finally, Plaintiffs argue that the Arbitration Agreement contains an unconscionable arbitration fee-shifting provision, which primarily benefits Defendant. Specifically, Plaintiffs are concerned with the provision requiring that “[o]ffers of compromise shall be served on the other party at least 14 days before the arbitration hearing commences and shall not be disclosed to the arbitrator until after the arbitral award is issued.” (Rummer Dec., Ex. B.) Defendant claims that this provision only applies if the parties decide to serve an offer of compromise, but the use of the term “shall” implies that the offers are required, not optional. The agreement goes on to say that “[t]he arbitrator shall give the same force and effect to offers of compromise as an offer of judgment under Rule 68 of the Federal Rules of Civil Procedure.” (Rummer Dec., Ex. B.) FRCP 68 provides, in pertinent part that: “If the judgment that the offeree finally obtains is not more favorable than the unaccepted offer, the offeree must pay the costs incurred after the offer was made.” (Fed. R. Civ. Proc. § 68(d).) Plaintiffs argue that this term would require Plaintiffs to bear costs that the employee would not have had to pay had the employee’s claims been litigated in court. Courts have stated that the “policy in favor of allowing employees to bring wage suits would be undermined by permitting section 998 [concerning offers of compromise] to require an employee to pay costs if unsuccessful[.]” (<i>Chavez v. California Collision, LLC</i> (2024) 107
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	Cal. App. 5th 298, 310.) “[T]he specific one-way cost and fee shifting provisions in [the] Labor Code . . . take precedence over the more general ones in sections 998 and 1032.” (<i>Id.</i>) Defendant argues that FRCP 68 would be applied if the claim were brought in court, but paired with the requirement that Plaintiffs shall serve offers of compromise, these provisions unconscionably alter the fee-shifting in Defendant’s favor. The court should not sever unconscionable terms if “the central purpose of the contract is tainted with illegality.” (<i>Ramirez v. Charter Commc'ns, Inc.</i> (2024) 16 Cal. 5th 478, 516.) “In deciding whether to sever terms rather than to preclude enforcement of the provision altogether, the overarching inquiry is whether the interests of justice would be furthered by severance; the strong preference is to sever <i>unless</i> the agreement is ‘permeated’ by unconscionability.” (<i>Hasty v. Am. Auto. Assn. et al.</i> (2023) 98 Cal. App. 5th 1041, 1064.) When “the arbitration agreement is permeated with unconscionability, . . . the trial court could not simply sever the offending provisions.” (<i>Id.</i> at 1065.) “Rather, the trial court would have needed to rewrite the arbitration agreement, creating a new agreement to which the parties never agreed.” (<i>Id.</i>) “Moreover, upholding this type of agreement with multiple unconscionable terms [in addition to the high level of procedural unconscionability] would create an incentive for an employer to draft a one-sided arbitration agreement in the hope employees would not challenge the unlawful provisions, but if they do, the court would simply modify the agreement to include the bilateral terms the employer should have included in the first place.” (<i>Id.</i>) The court finds that in light of the PAGA waiver, the requirement that Plaintiffs arbitrate claims against third-party entities without a mutual agreement that they do the same, and the requirement that Defendant and Plaintiffs shall provide offers of compromise that may improperly shift the fees and costs Plaintiffs could recover in court, the subject arbitration agreement is permeated with unconscionability, and these terms should not be severed. The appellate and trial court in <i>Olsaba</i> reviewing this same agreement determined that the PAGA waiver and FRCP Rule 68 fee-shifting clauses were substantively unconscionable, among other terms that Plaintiffs do not challenge in their opposition. (Plaintiffs’ RJN, Ex. B at p. 4-8.) The appellate court concluded that “the trial court did not abuse its discretion in refusing to sever the offending provisions,” and instead finding the agreement unenforceable. (<i>Id.</i> at p. 11 “[T]he multiple
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		substantive unconscionable provisions against a backdrop of not insignificant procedural unconscionability are indicative of a ‘systematic effort to impose arbitration on an employee not simply as an alternative to litigation, but as an inferior forum that works to the employer's advantage.’”].) Accordingly, the court denies Defendant’s Motion to Compel arbitration on the grounds of procedural and substantive unconscionability. Defendant is ordered to give notice of this ruling.
14	30-2026-01546800 Castellanos vs. Anza Management Company	Defendant Anza Management Company’s (“Defendant”) Motion to Compel Arbitration, Strike Class Claims, and Dismiss or Stay Proceedings Pending Arbitration is GRANTED. Plaintiff’s class claims are DISMISSED, Plaintiff’s individual claims are compelled to arbitration, and the remaining representative PAGA claim is STAYED pending completion of arbitration. The court OVERRULES Plaintiff’s objections to the Maria Chapman declaration as an amended declaration has been provided signed under penalty of perjury, a certified translation of the arbitration agreement has been provided, and Ms. Chapman has established adequate foundation for her statements based on her position and review of documents. The court declines to rule on Plaintiff’s Objections to Defendant’s counsel’s declaration as counsel’s statements were not necessary to the court’s ruling. <u>I. Existence of the Agreement</u> “The petitioner bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (<i>Ruiz v. Moss Bros. Auto Grp.</i> (2014) 232 Cal. App. 4th 836, 842.) The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination. (<i>Id.</i>) The petitioner must show that the plaintiff employee “was the person who electronically signed the [arbitration agreement]” with sufficient evidence that the electronic signature “was the act of [the plaintiff employee].” (<i>Id.</i> at 842.) “[A]ny writing must be authenticated before the writing, or secondary evidence of its content, may be received in evidence.” (<i>Id.</i> at 843.) “<i>The act of the person may be shown in</i>

		<i>any manner</i>, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable.” (<i>Id.</i> [emphasis in original].) A petitioner must show “how [the plaintiff employee’s] printed electronic signature, or the date and time printed next to the signature, came to be placed on the [arbitration] agreement,” so as to show how petitioner ascertained that the electronic signature was “the act of” the plaintiff employee. (<i>Id.</i> at 844.) “In the face of [a plaintiff employee’s] failure to recall electronically signing the [arbitration] agreement, the fact the [] agreement had an electronic signature on it in the name of [a plaintiff employee], and a date and time stamp for the signature, [i]s insufficient to support a finding that the electronic signature was, in fact, ‘the act of’ [the plaintiff employee].” (<i>Id.</i>) “[A] party may present evidence that the signatory was required to use a unique, private login and password to affix the electronic signature, along with evidence detailing the procedures the person had to follow to electronically sign the document and the accompanying security precautions.” (<i>Garcia v. Stoneledge Furniture LLC</i> (2024) 102 Cal. App. 5th 41, 53.) To carry its burden, the petitioner must show that “<i>only</i> [the plaintiff employee] could have placed the electronic signature on the arbitration agreement.” (<i>Id.</i> [emphasis in original].) The burden is not met when an employer defendant “did not detail the security precautions regarding the use of the [] username and password; the arbitration agreement lacked a date, time, or IP address; and the agreement contained no indication it was created within the [onboarding] system.” (<i>Id.</i> at 54.) Defendant submitted the declaration of Maria Chapman, the Human Resources Director for Defendant, initially without having her sign under penalty of perjury. (ROA 25.) Defendant then filed an amended declaration where she signed under penalty of perjury. (ROA 75.) The court therefore considers her declaration and supplemental declarations, and find that Defendant has adequately established the existence of an arbitration agreement between Plaintiff and Defendant. Ms. Chapman explains that by the first day of employment, Anza’s Payroll Administrator will have created an ADP account for the new employee. (Am. Chapman Dec. ¶ 8.) Upon creation of the account, ADP automatically generates an email that is sent to the employee’s personal email address previously provided to Anza by the employee as an applicant. (<i>Id.</i>) The email generated by ADP includes the employee’s unique user ID, and the
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	employee must create an individual, private password to gain access to the onboarding documents, including the Arbitration Agreement. (<i>Id.</i>) Anza supervisors and management do not have access to an employee’s unique login and cannot login for employees. (<i>Id.</i> ¶ 9.) If an employee cannot recall their login information, they can reset their password through a link that goes to the employee’s email. During ADP onboarding, the employee verifies personal information electronically through ADP. (<i>Id.</i>) On August 3, 2023, as part of Plaintiff’s hire, she was presented with various agreements, acknowledgements, and information from Anza through ADP. (Am. Chapman Dec. ¶ 7.) Anza made the information, agreements, and acknowledgements available to Plaintiff through secured electronic means by way of a secure link sent directly to Plaintiff’s personal email. (<i>Id.</i>) Only the employee receives their unique activation email from ADP. (<i>Id.</i> ¶ 9.) Once the employee inputs their required personal information, only then is the employee permitted to proceed with reading, acknowledging, and signing the required onboarding documents. (<i>Id.</i> ¶ 10.) As an added security measure, if the employee cannot complete the onboarding process for any reason, they will be logged out. (<i>Id.</i>) To agree to and accept the terms of the Arbitration Agreement, Plaintiff, like other employees, was required to click on a button marked “Sign and Continue.” (<i>Id.</i> ¶ 11.) Once the individual completes the onboarding process, signed documents within are converted to “flat” pdfs, and cannot be edited or overwritten. (<i>Id.</i> ¶ 12.) This ensures that the document that is maintained in the payroll database is the same document that the individual signed. (<i>Id.</i>) Ms. Chapman states: “Based on my personal review of Plaintiff’s ADP employee profile, onboarding documentation, and the ADP Document Audit History report associated with Plaintiff’s Arbitration Agreement, I can confirm that Plaintiff was provided with the Arbitration Agreement through Anza’s ADP onboarding process and electronically signed the agreement on August 3, 2023. (Supp. Chapman Dec. ¶ 12, Ex. E.) Plaintiff challenges Defendant’s proof of the agreement by noting that Defendant relies on a Spanish-language arbitration agreement without a certified translation, a defective declaration not signed under penalty of perjury, an ADP verification for a 2025 handbook rather than the alleged arbitration agreement, and a forwarded 2026 exemplar email rather than Plaintiff-specific onboarding evidence. In reply, Defendant provided a certified
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translation (ROA 71), an amended declaration signed under penalty of perjury (ROA 75), and signature verification of the agreement (ROA 77, Ex. E). The court finds no issue with the fact that Defendant submitted an exemplar e-mail to explain its onboarding process.

Plaintiff claims she did not recall seeing or signing the arbitration agreement. (Castellanos Dec. ¶ 5.) Courts have held that the existence of an agreement may be established even when an employee claims not to recall seeing or signing the agreement if the Defendant's evidence adequately authenticates the electronic signature as an act of the employee. (*Espejo v. S. California Permanente Med. Grp.* (2016) 246 Cal. App. 4th 1047, 1054, 1062 [Finding sufficient a declaration that "detailed [employer's] security precautions regarding transmission and use of an applicant's unique username and password, as well as the steps an applicant would have to take to place his or her name on the signature line of the employment agreement"].) The court finds that Defendant has met its burden in establishing the electronic signature as an act of Plaintiff, and therefore met its burden to establish the existence of an arbitration agreement.

II. Unconscionability

"[U]nconscionability has both a 'procedural' and a 'substantive' element, the former focusing on 'oppression' or 'surprise' due to unequal bargaining power, the latter on 'overly harsh' or 'one-sided' results." (*Armendariz v. Found. Health Psychcare Servs., Inc.* (2000) 24 Cal. 4th 83, 114.) "The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." (*Id.*) "But they need not be present in the same degree." (*Id.*) "Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves." (*Id.*) "In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Id.*)

"Where a contract has several distinct objects, of which one at least is lawful, and one at least is unlawful, in whole or in part, the contract is void as to the latter and valid as to the rest." (Cal. Civ. Code § 1599.) "If the central purpose of the contract is

tainted with illegality, then the contract as a whole cannot be enforced.” (*McManus v. CIBC World Markets Corp.* (2003) 109 Cal. App. 4th 76, 101.) “If the illegality is collateral to the main purpose of the contract, and the illegal provision can be extirpated from the contract by means of severance or restriction, then such severance and restriction are appropriate.” (*Id.*)

A. Procedural Unconscionability

Plaintiff asserts that the agreement is procedurally unconscionable because Anza or its representatives pointed out where Plaintiff needed to sign or click, did not explain the documents, and rushed Plaintiff because they wanted her to finish the process and begin working. (Castellanos Dec. ¶10.) When Plaintiff asked what the paperwork meant, she was told words to the effect of, “you just sign so we can put you to work.” (*Id.* at ¶11.) Plaintiff claims she was not given a meaningful opportunity to review the documents carefully, was not allowed to take them home, was not told she could consult with an attorney, was not told she could negotiate any arbitration term, was not told she could refuse arbitration and still work for Anza, and was not told she could opt out. (*Id.* ¶¶ 12-13, 16.) It is also undisputed that the arbitration agreement is a contract of adhesion. Thus, Plaintiff has established some level of procedural unconscionability.

B. Substantive Unconscionability

Plaintiff asserts that the PAGA waiver in the agreement is substantively unconscionable. The waiver states: “I expressly waive the right to bring a class, collective, representative or PAGA claim **(unless such waiver is prohibited by controlling law)** seeking any relief on behalf of others.” (Am. Chapman Dec., Ex. D [emphasis added].) Plaintiff argues that the limiting language does not make the PAGA waiver permissible. “[A]n employee's right to bring a claim under the Act is not waivable.” (*Hasty v. Am. Auto. Assn. etc.* (2023) 98 Cal. App. 5th 1041, 1063.) “The ban on *all* representative Act actions thus remains unconscionable because it requires an employee to waive a right that is not waivable.” (*Id.* [emphasis in original].) “[I]t is irrelevant that [the employee] has not brought a private attorney general action.” (*Id.*) “The fact that the provision applies to only the ‘extent permitted by law’ does not save it because the employee would have no way of knowing what would be covered or not covered by this provision.” (*Id.* at 1062.)

		Plaintiff also objects to the language in the agreement that Plaintiff “lack[s] standing to pursue, litigate, or act as a representative for any non-individual PAGA claims in a court of law.” Plaintiff argues that compelling individual PAGA claims to arbitration does not strip an aggrieved employee of standing to litigate non-individual PAGA claims in court. (<i>Adolph v. Uber Techs., Inc.</i> (2023) 14 Cal. 5th 1104, 1121 [“Standing under PAGA is not affected by enforcement of an agreement to adjudicate a plaintiff’s individual claim in another forum.”].) Therefore, this waiver of standing is contrary to law. Plaintiff further argues that the waiver of the right to seek public injunctive relief in any forum is also substantively unconscionable. Plaintiff points to the language that Plaintiff waives the right to bring claims “seeking any relief on behalf of others.” (Am. Chapman Dec., Ex. D.) “[I]nsofar as the arbitration provision here purports to waive [the employee’s] right to request in any forum [] public injunctive relief, it is invalid and unenforceable under California law.” (<i>McGill v. Citibank, N.A.</i> (2017) 2 Cal. 5th 945, 961.) Where “the Arbitration Provision provides for resolution of all covered disputes in arbitration, but prohibits an arbitrator from granting nonindividual relief, the provision does waive Plaintiffs’ right to seek a public injunction “in any forum.” (<i>Vaughn v. Tesla, Inc.</i> (2023) 87 Cal. App. 5th 208, 228.) Like with the PAGA waiver, Plaintiff argues that the phrase “unless such waiver is prohibited by controlling law” does not save the otherwise unconscionable provision. Plaintiff also contends that the subject agreement lacks mutuality because it provides benefits to broad swaths of third-party beneficiaries only in favor of the stronger party without a reciprocal benefit to the employee. An agreement is substantively unconscionable when there is a “lack of a 'modicum of bilaterality,' wherein the employee's claims against the employer, but not the employer's claims against the employee, are subject to arbitration.” (<i>Little v. Auto Stiegler, Inc.</i> (2003) 29 Cal. 4th 1064, 1072.) <i>Cook v. Univ. of S. California</i> (2024) 102 Cal. App. 5th 312 held that an arbitration agreement between the University of Southern California (“USC”) and one of its employees was unconscionable because of its overly broad scope of claims, indefinite duration and requirement that the employee arbitrate claims against USC’s affiliates without any mutual arbitration requirement for the affiliates. “The plain language of the arbitration agreement thus provides a significant benefit to
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	[defendant employer’s] related entities without any reciprocal benefit to [plaintiff employee].” (<i>Cook</i>, 102 Cal. App. 5th at 328.) However, courts looking at <i>Cook</i> have stated that its holding is contingent on the broad reach of USC’s operations and the broad scope of claims that could potentially arise between the plaintiff employee and an affiliate that would have nothing to do with the employment relationship. “The agreement in <i>Cook</i> was unconscionable in part because of the multifarious ways in which a claim against USC “completely unrelated to [Cook’s] employment could arise.” (<i>Ayala-Ventura v. Superior Ct. of Fresno Cnty.</i> (2026) 119 Cal. App. 5th 241, 257.) Here, by contrast to <i>Cook</i>, the claims against the Company governed by the agreement are limited to “all disputes that might arise out of or be related in any way to my application for employment and/or employment by the Company.” (Chapman Dec., Ex. D, ¶ 1). Thus, the Agreement avoids the broad swath of liability found unconscionable in <i>Cook</i>. In the context of this defendant, whose reach is not as broad as USC’s, the clause is not unconscionable. Here, Defendant concedes in its reply that these provisions challenged by Plaintiff evidence substantive unconscionability, but argues that they can be severed and the remaining arbitration agreement should be enforced. “In deciding whether to sever terms rather than to preclude enforcement of the provision altogether, the overarching inquiry is whether the interests of justice would be furthered by severance; the strong preference is to sever <i>unless</i> the agreement is ‘permeated’ by unconscionability.” (<i>Hasty v. Am. Auto. Assn. et al.</i> (2023) 98 Cal. App. 5th 1041, 1064.) When “the arbitration agreement is permeated with unconscionability, . . . the trial court could not simply sever the offending provisions.” (<i>Id.</i> at 1065.) “Rather, the trial court would have needed to rewrite the arbitration agreement, creating a new agreement to which the parties never agreed.” (<i>Id.</i>) In this case, the court finds that the PAGA waiver, PAGA standing waiver, and waiver of public injunctive relief provisions do not permeate the agreement with unconscionability and are easily stricken from the agreement. Two of the provisions only apply to the extent permitted by law and thus would not apply in this case anyway. The waiver of public injunctive relief is of little consequence because such relief is rarely sought in arbitrations of this kind and is secondary to the monetary relief at the core of the complaint. The court, in the exercise of its discretion in this area, finds that the interests of justice are best
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		served by severing the above provisions and enforcing the parties' agreement to arbitrate. The class action waiver in the arbitration agreement requires dismissal of the class claims (<i>Iskanian v. CLS Transportation Los Angeles, LLC</i> (2014) 59 Cal. 4th 348, 372 [class action waivers are enforceable under the FAA]) and the individual portion of the PAGA claim may be ordered to arbitration per <i>Viking River Cruises, Inc. v. Moriana</i> (2022) 596 U.S. 639, 662 [holding that an employer is “entitled to enforce the agreement insofar as it mandated arbitration of [employee]'s individual PAGA claim”]). The agreement states: “I expressly waive the right to bring a class, collective, representative or PAGA claim (unless such waiver is prohibited by controlling law) seeking any relief on behalf of others.” (Chapman Dec., Ex. D, ¶ 1) Thus, Plaintiff’s class claims are dismissed. Finally, both the Federal Arbitration Act and California law provide for a stay of proceedings pending arbitration. (9 U.S.C. §3; CCP §1281.4.) It is also in the interests of comity and the conservation of judicial resources to avoid potential conflicting rulings and stay the arbitration, eliminating the risk of inconsistent decisions between the arbitration proceeding and the court proceeding. (<i>Lawyers Title Ins. Corp. v. Superior Court</i> (1984) 151 Cal. App. 3d 455, 460.) As such, the court stays the action, including the representative PAGA claim, pending completion of arbitration. Defendant is ordered to give notice of this ruling.
15	30-2026-01556346 Bohinski vs. Workway, Inc.	Off Calendar